

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents and Third-Party Complainants,

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,

Third-Party Respondent.

**THIRD-PARTY RESPONDENT'S MOTION FOR AN ORDER PRESERVING
DEFENSE**

HOHENSTEIN & PARKINSON, LLP
James H. Hohenstein
385 South End Avenue, #5K
New York, NY 10280
Telephone: (917) 873-2528
jim.hohenstein@hplawny.com

*Counsel to Samsung Electronics
Co., Ltd. s/h/a Samsung
Electronics Company, Ltd.*

TABLE OF CONTENTS

	Page
TABLE OF AUTHORITIES	ii
PRELIMINARY STATEMENT	1
INTRODUCTION	1
ARGUMENT	3
I. The Contemplated Participation by SEC is Not a Waiver of its Affirmative Defense.....	3
II. The Issuance of an Order Preserving Defense is Appropriate and Warranted	5
MEET AND CONFER CERTIFICATION	6
CONCLUSION.....	7

TABLE OF AUTHORITIES

	Page(s)
Cases	
<i>Atlas Data Privacy Corp. v. Thomson Reuters Corp.</i> , Civil Action No. 24-4269, 2025 WL 1261221 (D.N.J. May 1, 2025).....	5, 6
<i>Boulger v. Woods</i> , 917 F.3d 471 (6 th Cir. 2019).....	3
<i>Brokerwood Prod. Int’l (U.S.), Inc. v. Cuisine Crotone, Inc.</i> , 104 Fed. App’x 376 (5 th Cir. 2004).....	4
<i>Fernandez v. Engineering & Insp. Svcs., LLC</i> , Civil Action No. 23-57, 2023 WL 5751129 (E.D. La. Sept. 6, 2023).....	5, 6
<i>King v. Taylor</i> , 694 F.3d 650 (6 th Cir. 2012).....	5
<i>Open Sea Distr. Corp. v. Artemis Distr., LLC</i> , 692 F. Supp. 3d 1151 (M.D. Fla. 2023).....	5
<i>Pruco Life Ins. Co. v. Wilmington Trust Co.</i> , 616 F. Supp. 2d 210 (D.R.I. 2009), <i>aff’d on other grounds</i> , 721 F.3d 1 (1 st Cir. 2013)	3
<i>United States v. Ziegler Bolt and Parts Co.</i> , 883 F. Supp. 740 (Ct. Int’l Trade 1995), <i>aff’d</i> , 111 F.3d 878 (Fed. Cir. 1997).....	3, 4, 5
<i>Williams v. Helbig</i> , No. 00 CIV. 2169 SHS, 2001 WL 536946 (S.D.N.Y. May 21, 2001)	4
Rules and Regulations	
Fed. R. Civ. P. 12(b)(5)	4, 5
Fed. R. Civ. P. 12(b)(6)	2
46 C.F.R. §§ 502.69.....	7
46 C.F.R. §§ 502.71.....	7
46 C.F.R. §§ 502.254.....	7

PRELIMINARY STATEMENT

Third-Party Respondent Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“Third-Party Respondent” or “SEC”), having specially appeared by its undersigned attorneys for the limited purpose of filing SEC’s Motion to Dismiss the Third-Party Complaint of Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”)(Doc. No. 32), respectfully submits this Motion for an Order Preserving Defense.¹

By filing this Motion, SEC does not intend to make a general appearance in this matter, nor does SEC intend to waive its Motion to Dismiss (Doc. No. 32) on the grounds of insufficiency of the service of process, which Motion is currently pending before the Presiding Officer.

INTRODUCTION

SEC seeks this Order Preserving Defense based on relevant precedent and in an abundance of caution to forestall OOCL from asserting a legal waiver of SEC’s service of process defense at a future date.

On December 12, 2024, OOCL filed a Third-Party Complaint against SEC (Doc. No. 20). On January 9, 2025, undersigned counsel filed a Notice of Special Appearance, specifically noting SEC’s intention to assert a defense of the insufficiency of the service of process (Doc. No. 25). On January 29, 2025, SEC filed its Motion to Dismiss on that ground (Doc. No. 32). In due course, OOCL filed an opposition (Doc. No. 33) to which SEC replied (Doc. No. 36). As such, SEC’s Motion to Dismiss was and is *sub judice*.

¹ OOCL has also filed a Motion for Enlargement of Time to File Supplemental Briefs (Doc. No. 51). SEC notes that the Presiding Officer may extend the schedule for filing the Supplemental Briefs to allow time for OOCL’s Motion for Reconsideration to be addressed and decided. If OOCL’s Motion is granted, the additional time should also allow for a ruling on SEC’s Motion for an Order Preserving Defense.

On March 31, 2025, the Honorable Alex M. Chintella, Administrative Law Judge (“ALJ”) issued the Order Granting Complainant’s Motion to Dismiss Respondent’s Counterclaim (Doc No. 38)(the “Dismissal Order”).² The underlying motion was filed by the Complainant in this proceeding, Samsung Electronics America, Inc. (“SEA”). The gravamen of the motion was based on Fed. R. Civ. P. 12(b)(6). *Id.* at 2. OOCL filed an appeal of the Dismissal Order (Doc. No. 41), which appeal is currently pending.

On June 11, 2025, the Presiding Officer issued an Order Requiring Supplemental Briefing, Denying Motion to Stay, Granting in Part and Denying in Part Third Motion for Enlargement of Time, and Requiring Joint Status Report (Doc. No. 49)(the “Order”). The Order noted the substantial similarity between OOCL’s Counterclaim against SEA and OOCL’s Third-Party Complaint against SEC. The Presiding Officer stated:

Assuming Samsung [SEC] (whose related company initiated this action) will be properly served eventually after additional time, expense, and delay is incurred by the parties, as well as the Office of the Secretary, Samsung will likely raise the issue of whether the Third Party Complaint fails to state a claim upon which relief may be granted. Therefore, it appears that it would be more efficient and less expensive for all parties (as well as the Office of the Secretary) to address whether the Third Party Complaint fails to state a claim upon which relief may be granted, rather than address the service issue (which will likely result in Samsung being served properly, and, which in turn, would likely be followed by a motion to dismiss by Samsung for failure to state a claim upon which relief may be granted). If it is determined that the Third Party Complaint alleges a claim upon which relief may be granted, the service issue can be resolved at that time.

Id. at 4. The Order then directed OOCL to file a Supplemental Brief “explaining why its Third Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted.” Further, the Order noted that while SEC is “not properly a party to this matter,” SEC would be permitted to file a response to OOCL’s Supplemental Brief. *Id.*

² By Order dated June 6, 2025, this proceeding was reassigned to the Honorable Richard Ambrow, ALJ (Doc. No. 48).

OOCL then filed a motion seeking the Presiding Officer's reconsideration of this aspect of the Order (Doc. No. 50).

SEC should be permitted to lend its insights in an effort to assist the Presiding Officer in regard to the OOCL Motion³ as well as the submission of a Supplemental Brief, as permitted by the Order, without waiving its affirmative defense of the insufficiency of the service of process. And relevant federal court precedent supports taking the prudent step of SEC seeking the Presiding Officer's confirmation and subsequent order that that such actions cannot be construed or found to be any such legal waiver of its service of process defense.

ARGUMENT

I. The Contemplated Participation by SEC is Not a Waiver of its Affirmative Defense

Where a party has timely and properly raised an affirmative defense based on improper service, as is the situation here, depending on the circumstances, the defense may be waived by that party's participation in the litigation.

There is no formula for making such a finding: "Determining what constitutes waiver by conduct is more art than science to be sure, and there is no bright line rule." *Pruco Life Ins. Co. v. Wilmington Trust Co.*, 616 F. Supp. 2d 210, 216 (D.R.I. 2009), *aff'd on other grounds*, 721 F.3d 1 (1st Cir. 2013). While *Pruco* involved the defense of the lack of personal jurisdiction, the statement has been quoted in decisions addressing the improper service issue. *See, e.g., Boulger v. Woods*, 917 F.3d 471, 477 (6th Cir. 2019).

Limited participation in the litigation does not constitute a waiver of the defense. *See United States v. Ziegler Bolt and Parts Co.*, 883 F. Supp. 740, 751 (Ct. Int'l Trade 1995), *aff'd*,

³ SEC has prepared an opposition to the OOCL Motion which is attached hereto as Appendix A. If the Presiding Officer grants the Motion herein, SEC requests that the Presiding Officer consider its opposition. If the Presiding Officer denies this Motion, SEC requests that the proposed opposition be considered null and void.

111 F.3d 878 (Fed. Cir. 1997)(defendant's active participation through discovery and the filing and responding to "numerous" motions was not a waiver of the improper service defense); *Williams v. Helbig*, No. 00 CIV. 2169 SHS, 2001 WL 536946, *3 (S.D.N.Y. May 21, 2001)(submission of opposition papers to motion for default judgment and appearance at pretrial conference in reference to that motion did not constitute a waiver of the improper service defense).

Similarly, where the defendant does not seek affirmative relief in the proceeding, there is no waiver of jurisdictional defenses. *See Brokerwood Prod. Int'l (U.S.), Inc. v. Cuisine Crotone, Inc.*, 104 Fed. App'x 376, 380 (5th Cir. 2004)(while the defendant participated in certain aspects of the litigation since the defendant had filed no counterclaims nor sought adjudication of the merits of any claims, there was no waiver of defendant's personal jurisdiction defense).

In this proceeding, SEC has done nothing other than file a notice of special appearance and a Motion to Dismiss based on Fed. R. Civ. P. 12(b)(5). SEC has not filed any motion to dismiss the Third-Party Complaint nor sought any other relief from this administrative body.

Instead, the Order concerning the filing of Supplemental Briefs was the *sua sponte* action of the Presiding Officer.

That said, if SEC voluntarily files a Supplemental Brief in opposition to OOCL's Supplemental Brief, as permitted by the Presiding Officer, OOCL will no doubt argue that SEC's filing constitutes a waiver of the improper service defense. SEC is of the firm view that submitting the Supplemental Brief (as well as an opposition to OOCL's Motion for Reconsideration) does not constitute a waiver of its improper service defense. However, as precautionary step, it is appropriate for SEC to seek the protection of an appropriate order. With that protection, SEC will be in a position to illuminate the issues which are of concern to the Presiding Officer.

II. The Issuance of an Order Preserving Defense is Appropriate and Warranted

The decision of whether a party, having raised the service of process defense, has waived the defense by participation in litigation is a finding within the discretion of the court, or here the Presiding Officer. *See King v. Taylor*, 694 F.3d 650, 659 (6th Cir. 2012)(“We review a district court’s ruling on forfeiture [of the service of process defense] for an abuse of discretion.”)(citations omitted); *Ziegler Bolt*, 111 F.3d at 882 (“This court places waiver [of the service of process defense] within the discretion of the trial court, consistent with its broad duties in managing the conduct of cases pending before it.”)(citations omitted); *Open Sea Distr. Corp. v. Artemis Distr., LLC*, 692 F. Supp. 3d 1151, 1250 (M.D. Fla. 2023)(“A court’s decision on waiver [of the service of process defense] is discretionary...”)(thereafter quoting *Ziegler Bolt*, *supra*).

Consistent with that discretion, the Presiding Officer also has the authority to issue an Order specifically preserving SEC’s affirmative defense. Illustrative of this principle is *Atlas Data Privacy Corp. v. Thomson Reuters Corp.*, Civil Action No. 24-4269, 2025 WL 1261221 (D.N.J. May 1, 2025). In *Atlas Data*, the plaintiff asserted that a defendant had waived the timely service of process, in part due to participation in motion practice. The court noted that it had ordered that certain threshold issues were to be first addressed and had further ordered that “[u]ntil these issues were decided, no party would be deemed to have waived any other defenses such as the insufficiency of service of process.” *Id.* at *2. The court then dismissed the action against the defendant under Fed. R. Civ. P. 12(b)(5). *Id.* at *3. Similarly, in *Fernandez v. Engineering & Insp. Svcs., LLC*, Civil Action No. 23-57, 2023 WL 5751129 (E.D. La. Sept. 6, 2023), the court granted an order of non-waiver:

IT IS FURTHER ORDERED that [Defendant]'s alternative Motion for Order Preserving Defenses is GRANTED. [Defendant] will not waive any jurisdictional defense, including its pending insufficiency of service objection, by complying with the Court's August 28, 2023 Order requiring the parties to confer regarding consent under 28 U.S.C. § 636(c), participate in the Rule 26(f) conference, and exchange of initial disclosures.

Id. at *5.

As in *Atlas Data* and *Fernandez*, SEC respectfully submits that it would be entirely appropriate and proper for the Presiding Officer to issue the Order as requested herein.

MEET AND CONFER CERTIFICATION

Counsel for SEC has advised counsel for SEA and OOCL of this prophylactic motion. SEA has consented to the motion. OOCL has advised that it intends to oppose the motion.

CONCLUSION

For the reasons stated herein, Third-Party Respondent's Motion for an Order Preserving Defense should be granted.

Accordingly, pursuant to 46 C.F.R. §§ 502.69, 502.71, and 502.254, Third-Party Respondent SEC respectfully moves for an Order:

1. Preserving SEC's defense of insufficiency of the service of process as stated in its Motion to Dismiss (Doc. No. 32) for the purposes of participating in this proceeding as set out herein;
2. Accepting SEC's proposed Opposition to the OOCL Motion (Appendix A herein);
3. Granting SEC its attorneys' fees and costs in connection with this Motion; and,
4. Granting SEC all such other and further relief as may be just and proper.

Dated: June 24, 2025

Respectfully submitted,

HOHENSTEIN & PARKINSON, LLP

By: /s/ James H. Hohenstein

James H. Hohenstein
385 South End Avenue, #5K
New York, NY 10280
Telephone: (917) 873-2528
jim.hohenstein@hplawnyc.com

*Counsel to Samsung Electronics
Co., Ltd. s/h/a Samsung
Electronics Company, Ltd.*

CERTIFICATE OF SERVICE

I hereby certify that I have on this day served the foregoing document by electronic mail upon the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Richard Ambrow – *Administrative Law Judge*
Federal Maritime Commission
Judges@fmc.gov
3. Mills Black LLP
Counsel for Complainants
 - a. Peter F. Black
pblack@millsblack.com
 - b. H. Allen Black
hablack@millsblack.com
4. Jeffrey/Fenneman Law + Strategy, PLLC
Counsel for Respondents and Third-Party Complainants
 - a. Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
 - b. Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
5. Cozen O'Connor, P.C.
Counsel for Respondents and Third-Party Complainants
 - a. Wayne R. Rohde
wrohde@cozen.com
 - b. Christopher Raleigh
craleigh@cozen.com

Dated: June 24, 2025

By: /s/ James H. Hohenstein

James H. Hohenstein
Hohenstein & Parkinson, LLP

*Counsel to Samsung Electronics
Co., Ltd. s/h/a Samsung
Electronics Company, Ltd.*

SEC's Motion to Preserve Defense

Docket No. 24-17

Appendix A

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents and Third-Party Complainants,

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,

Third-Party Respondent.

**THIRD-PARTY RESPONDENT'S [PROPOSED] OPPOSITION TO RESPONDENTS'
MOTION FOR RECONSIDERATION**

HOHENSTEIN & PARKINSON, LLP
James H. Hohenstein
385 South End Avenue, #5K
New York, NY 10280
Telephone: (917) 873-2528
jim.hohenstein@hplawnyc.com

*Counsel to Samsung Electronics
Co., Ltd. s/h/a Samsung
Electronics Company, Ltd.*

TABLE OF CONTENTS

	Page
TABLE OF AUTHORITIES	ii
PRELIMINARY STATEMENT	1
INTRODUCTION	1
ARGUMENT	3
I. The Issuance of the Order is Well within the ALJ's Authority and Powers	3
II. The Order of Dismissal of OOCL's Counterclaim is not "Inoperative"	5
III. SEC is Permitted to File an Opposition to OOCL's Supplemental Brief	6
IV. Promptly Addressing Issues Pertaining to the Third-Party Complaint is Proper	7
CONCLUSION	9

TABLE OF AUTHORITIES

	Page(s)
Cases	
<i>Boulger v. Woods</i> , 917 F.3d 471 (6 th Cir. 2019).....	6
<i>Brokerwood Prod. Int’l (U.S.), Inc. v. Cuisine Crotone, Inc.</i> , 104 Fed. App’x 376 (5 th Cir. 2004).....	6, 7
<i>Butz v. Economou</i> , 438 U.S. 478 (1978).....	4
<i>Carver v. Atwood</i> , 18 F.4th 494 (5 th Cir. 2021)	4
<i>Chambers v. NASCO, Inc.</i> , 501 U.S. 32 (1991).....	4
<i>Chong Su Yi v. Social Security Admin.</i> , 554 Fed. App’x 247 (4 th Cir. 2014).....	8
<i>Federated Dep’t Stores, Inc. v. Moitie</i> , 452 U.S. 394 (1981).....	8
<i>Hagans v. Lavine</i> , 415 U.S. 528 (1974).....	7
<i>Link v. Wabash R. Co.</i> , 370 U.S. 626 (1962).....	4
<i>Santa Fe Discount Cruise Parking, Inc., et. al v. the Board of Trustees of the Galveston Wharves et. al.</i> , FMC Dkt. 14-06, 2014 WL 7404584 (ALJ, Nov. 21, 2014).....	4, 8
<i>Sinochem Int’l Co. Ltd. v. Malaysia Int’l Shipping Corp.</i> , 549 U.S. 422 (2007).....	8
<i>Smith v. Boyd</i> , 945 F.2d 1041 (8 th Cir. 1991)	8
Statute, Rules and Regulations	
5 U.S.C. § 556.....	4
Fed. R. Civ. P. 1.....	3

Fed. R. Civ. P. 12(b)(6)	2, 4, 8
Fed. R. Civ. P. 12(h)(3)	4
46 C.F.R. § 502.12.....	3, 4
46 C.F.R. § 502.25.....	4
46 C.F.R. § 502.69.....	9
46 C.F.R. § 502.71.....	9
46 C.F.R. § 502.227.....	5
46 C.F.R. § 502.254.....	5, 9

PRELIMINARY STATEMENT

Third-Party Respondent Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“Third-Party Respondent” or “SEC”), having specially appeared by its undersigned attorneys for the limited purpose of filing SEC’s Motion to Dismiss the Third-Party Complaint of Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”)(Doc. No. 32), conditionally submits this proposed opposition to the Motion for Reconsideration filed by Respondents (Doc. No. 50)(“OOCL Motion”).¹ SEC adds “conditionally” because it is contingent on the Presiding Officer granting SEC’s motion for Order of Preserving Defense of which this proposed opposition is a part.

By filing this opposition, SEC does not intend to make a general appearance in this matter, nor does SEC intend to waive its Motion to Dismiss (Doc. No. 32) on the grounds of insufficiency of the service of process, which Motion is currently pending before the Presiding Officer.

INTRODUCTION

On December 12, 2024, OOCL filed a Third-Party Complaint against SEC (Doc. No. 20). On January 9, 2025, undersigned counsel filed a Notice of Special Appearance, specifically noting SEC’s intention to assert a defense of the insufficiency of the service of process (Doc. No. 25). On January 29, 2025, SEC filed its Motion to Dismiss on that ground (Doc. No. 32). In due course, OOCL filed an opposition (Doc. No. 33) to which SEC replied (Doc. No. 36). As such, SEC’s Motion to Dismiss was and is *sub judice*.

On March 31, 2025, the Honorable Alex M. Chintella, Administrative Law Judge (“ALJ”) issued the Order Granting Complainant’s Motion to Dismiss Respondent’s Counterclaim (Doc No.

¹ OOCL has also filed a Motion for Enlargement of Time to File Supplemental Briefs (Doc. No. 51). SEC notes that the Presiding Officer may extend the schedule for filing the Supplemental Briefs to allow time for the OOCL’s Motion for Reconsideration to be addressed and decided. If OOCL’s Motion is granted, the additional time should also allow for a ruling on SEC’s Motion for an Order Preserving Defense.

38)(the “Dismissal Order”).² The underlying motion was filed by the Complainant in this proceeding, Samsung Electronics America, Inc. (“SEA”). The gravamen of the motion was based on Fed. R. Civ. P. 12(b)(6). *Id.* at 2. OOCL filed an appeal of the Dismissal Order (Doc. No. 41), which appeal is currently pending.

On June 11, 2025, the Presiding Officer issued an Order Requiring Supplemental Briefing, Denying Motion to Stay, Granting in Part and Denying in Part Third Motion for Enlargement of Time, and Requiring Joint Status Report (Doc. No. 49)(the “Order”). The Order noted the substantial similarity between OOCL’s Counterclaim against SEA and OOCL’s Third-Party Complaint against SEC. The Presiding Officer stated:

Assuming Samsung [SEC] (whose related company initiated this action) will be properly served eventually after additional time, expense, and delay is incurred by the parties, as well as the Office of the Secretary, Samsung will likely raise the issue of whether the Third Party Complaint fails to state a claim upon which relief may be granted. Therefore, it appears that it would be more efficient and less expensive for all parties (as well as the Office of the Secretary) to address whether the Third Party Complaint fails to state a claim upon which relief may be granted, rather than address the service issue (which will likely result in Samsung being served properly, and, which in turn, would likely be followed by a motion to dismiss by Samsung for failure to state a claim upon which relief may be granted). If it is determined that the Third Party Complaint alleges a claim upon which relief may be granted, the service issue can be resolved at that time.

Id. at 4. The Order then directed OOCL to file a Supplemental Brief “explaining why its Third Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted.” Further, the Order noted that while SEC is “not properly a party to this matter,” SEC would be permitted to file a response to OOCL’s Supplemental Brief. *Id.*

OOCL then filed a motion seeking the Presiding Officer’s reconsideration of this aspect of the Order (Doc. No. 50).

² By Order dated June 6, 2025, this proceeding was reassigned to the Honorable Richard Ambrow, ALJ (Doc. No. 48).

SEC submits that the Presiding Officer can direct the Supplemental Briefing based on established precepts dealing with the authority of ALJs to manage their cases. Further, OOCL has incorrectly cited the FMC rules governing matters under appeal (as will be explained below). Additionally, if SEC elects to file a Supplemental Brief, it will not cause a waiver of its affirmative defense relating to the service of process. Finally, as the call for the Supplemental Briefs is not an outright dismissal or ruling on the merits, the briefing, at the request of the Presiding Officer, is permissible.

It is somewhat ironic that OOCL appears to be highly concerned that SEC not waive its affirmative defense by way of noting the “alacrity” with which SEC has maintained its position. (OOCL Motion at 8). What is left unsaid is the fact that it has been over four months since SEC filed its Motion to Dismiss. Had OOCL itself moved with alacrity to serve SEC in Korea in accordance with the Hague Convention, perhaps the Presiding Officer would not have seen the necessity to issue the Order. OOCL’s decisions to forego using the readily-available means to cure the defect pertaining to the service of the Third-Party Complaint and OOCL’s filing of the Motion to Reconsideration, are clear indications that OOCL is simply seeking to delay these proceedings – a position directly contrary to the intent evidenced in the Order.

ARGUMENT

I. The Issuance of the Order is Well within the ALJ’s Authority and Powers

In pertinent part, Fed. R. Civ. P. 1 states: “These rules...should be construed, administered, and employed by the court and the parties to secure the just, speedy, and inexpensive determination of every action and proceeding.” *See also* 46 C.F.R. § 502.12 (“In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil

Procedure will be followed to the extent that they are consistent with sound administrative practice.”)

SEC submits the intent of the Order fully comports with the central principle underlying not only the Federal Rules of Civil Procedure but the FMC Rules as well.

As observed by the Supreme Court: “There can be little doubt that the role of the modern federal hearing examiner or administrative law judge within this framework [referring to 5 U.S.C. § 556] is ‘functionally comparable’ to that of a judge.” *Butz v. Economou*, 438 U.S. 478, 513 (1978). Further, the Presiding Officer, like all judges, has inherent authority to control the assigned docket: “These [implied] powers are ‘governed not by rule or statute but by the control necessarily vested in courts to manage their own affairs so as to achieve the orderly and expeditious disposition of cases.’” *Chambers v. NASCO, Inc.*, 501 U.S. 32, 43 (1991)(quoting *Link v. Wabash R.Co.*, 370 U.S. 626, 630-31 (1962)).

Moreover, there is clear precedent supporting the notion that the Presiding Officer can *sua sponte* dismiss an action based on either Fed. R. Civ. P. 12(h)(3) or 12(b)(6). *See, e.g., Carver v. Atwood*, 18 F.4th 494, 497 (5th Cir. 2021)(Rule 12(h)(3)); *Santa Fe Discount Cruise Parking, Inc., et. al v. the Board of Trustees of the Galveston Wharves et. al.*, FMC Dkt. 14-06, 2014 WL 7404584, *12 (ALJ, Nov. 21, 2014)(Rule 12(b)(6)). As the Presiding Officer has the ability to dismiss a case on these grounds, it is only logical that there is the concomitant authority to direct briefing on the relevant issues *sua sponte*.

The procedure set forth in the Order presents a nimble approach allowing the parties to move towards the prompt resolution of the Third-Party Complaint. Moreover, issuance of the Order, SEC submits, is well within the regulatory (46 C.F.R. § 502.25) and implied authority of

the Presiding Officer. OOCL's challenge to the Order is simply a further attempt to delay this proceeding.

II. The Order of Dismissal of OOCL's Counterclaim is not "Inoperative"

Initially, SEC submits that OOCL's presentation on this point is curious. OOCL states: "The then-Presiding Officer...issued an Order Partially Granting SEA's Motion to Dismiss the Counterclaim on May 24, 2025 ("Partial Order" – FMC Dkt. #16)." OOCL Motion at 4. A review of the docket indicates that nothing was issued on May 24, 2025. Further, Doc. No. 16 was in fact the "Order Partially Granting Motion to Dismiss" which motion was filed by OOCL against SEA and was dated November 18, 2024. As stated above, OOCL's pending appeal (Doc. No. 41) is from the Dismissal Order (Doc. No. 38). The word "partial" does not appear in the title of that document.

Turning to the substance of the argument, OOCL's assertion that the order dismissing its Counterclaim against SEA is "inoperative" is patently incorrect. A simple reading of the relevant FMC Rules establishes the invalidity of OOCL's position. In 46 C.F.R. § 502.254(b), the word "decision" "means...An initial decision or dismissal order issued by an administrative law judge." (emphasis added). A similar use of the disjunctive "or" appears in 46 C.F.R. § 502.227(a)(4).

OOCL cites 46 C.F.R. § 502.227(a)(5) for the position that the dismissal order is inoperative. This is wrong. By its terms, that provision applies to "initial decisions" – the Dismissal Order (by its very caption) is not an initial decision. This conclusion is further supported by the terms of 46 C.F.R. § 502.227(b) and (c), which specifically addresses appeals from orders of dismissal – there is nothing in those regulations which state that an order of dismissal is "inoperative" while the appeal process is pending.

Further, there is no indication in the Order that the Presiding Officer intends to apply doctrines such as *res judicata* or collateral estoppel to consider issues pertinent to the Third-Party Complaint. Instead, by way of directing supplemental briefing it is clear that the Presiding Officer is interested in the potential application of the logic and reasoning of the Dismissal Order to the Third-Party Complaint. SEC is not aware of any precedent or rule of procedure which precludes the Presiding Officer from considering a particular legal analysis whatever the source. SEC thus respectfully recommends that the Presiding Officer ignore OOCL's attempt to preclude the consideration of the Dismissal Order which is yet another means by which OOCL seeks to retard the adjudication of this case.

III. SEC is Permitted to File an Opposition to OOCL's Supplemental Brief

OOCL has noted that SEC "has assiduously avoided stepping over the boundary of the limited appearance it has entered." (OOCL Motion at 8). In OOCL's view, if SEC were to file an opposition to the Supplemental Brief, SEC would then have "crossed" that boundary.

To support this notion, OOCL cites *Boulger v. Woods*, 917 F.3d 471 (6th Cir. 2019). In *Boulger*, the defendant filed an answer including an improper service defense. Defendant also filed a motion for judgment on the pleadings. The court found that the latter filing waived the defendant's affirmative defenses of improper service and personal jurisdiction. *Id.* at 477-78.

SEC submits that *Boulger* is inapposite to the issue now before the Presiding Officer for the simple fact that SEC has not filed any motion for affirmative relief. Further, even if SEC files an opposition to the Supplemental Brief, that submission will be limited to the legal issues presented concerning which the Presiding Officer seeks comment.³ *See also Brokerwood Prod.*

³ In *Boulger*, the court noted that the defendant's motion for judgment on the pleadings did not include a reference to its affirmative defenses. *Id.* Certainly, any submission made by SEC will certainly include a reference to its affirmative defense.

Int'l (U.S.), Inc. v. Cuisine Crotone, Inc., 104 Fed. App'x 376, 380 (5th Cir. 2004)(while the defendant participated in certain aspects of the litigation since the defendant had filed no counterclaims nor sought adjudication of the merits of any claims, there was no waiver of defendant's personal jurisdiction defense).

While SEC submits that the filing of this opposition as well as a Supplemental Brief would not constitute a waiver of its affirmative defense, out an abundance of caution, SEC has moved concomitantly with this conditional filing for an order preserving SEC's affirmative defense so as to allow SEC's participation concerning OOCL's Motion to Reconsideration as well as the briefing directed by the Order without creating any issue as to a waiver. OOCL's apparent concern that SEC does not waive its affirmative defense simply masks a further attempt to preclude the Presiding Officer from timely considering the key issues in this proceeding.

IV. Promptly Addressing Issues Pertaining to the Third-Party Complaint is Proper

In a further effort to prevent the progress of this litigation, OOCL asserts that the Presiding Officer cannot address the legal issues underlying the Third-Party Complaint without first obtaining jurisdiction over SEC. (OOCL Motion at 9).

SEC submits that this overstates the issue: given the plenary authority conferred on the Presiding Officer, it is appropriate to call for the Supplemental Briefing as simply briefing the salient issues is not an outright dismissal or a ruling on the merits.

It is well established that the Presiding Officer may consider whether the Third-Party Complaint is within the FMC subject matter jurisdiction or is so devoid of merit as to be frivolous. *See Hagans v. Lavine*, 415 U.S. 528, 536 (1974)(“Over the years this Court has repeatedly held that the federal courts are without power to entertain claims otherwise within their jurisdiction if they are ‘so attenuated and unsubstantial as to be absolutely devoid of merit’...‘wholly

insubstantial’...‘obviously frivolous’...‘plainly unsubstantial’...or ‘no longer open to discussion...’”(citations omitted). When a court dismisses an action on this ground, proper service on the defendant is not required. See *Chong Su Yi v. Social Security Admin.*, 554 Fed. App’x 247, 248 (4th Cir. 2014)(“[B]ecause a court lacks subject matter jurisdiction over an obviously frivolous complaint, dismissal prior to service of process is permitted.”).

On the other hand, it is the case that personal jurisdiction is a prerequisite for a decision on the merits of a matter: “[A] federal court generally may not rule on the merits of a case without first determining that it has jurisdiction over the category of claim in suit (subject-matter jurisdiction) and the parties (personal jurisdiction).” *Sinochem Int’l Co. Ltd. v. Malaysia Int’l Shipping Corp.*, 549 U.S. 422, 430-31 (2007). Concerning a decision based on Fed. R. Civ. P. 12(b)(6): “The dismissal for failure to state a claim under Federal Rule of Civil Procedure 12(b)(6) is a ‘judgment on the merits.’” *Federated Dep’t Stores, Inc. v. Moitie*, 452 U.S. 394, 399 n.3 (1981)(citations omitted). Further, as noted in *Santa Fe Discount*: “[A] district court *sua sponte* may dismiss a complaint under Rule 12(b)(6) as long as the dismissal does not precede service of process.” 2014 WL 7404584 at *12 (quoting *Smith v. Boyd*, 945 F.2d 1041, 1043 (8th Cir. 1991)).

Nothing in the Order, particularly its reference to the Supplemental Briefs, can be construed as an outright dismissal of the Third-Party Complaint or a ruling on the merits of the Third-Party Complaint. Instead, the limited directions in the Order are sensible and promote judicial efficiency. OOCL’s attempt to further delay these proceedings should be rejected.

CONCLUSION

For the reasons stated herein, Respondents' Motion for Reconsideration should be denied.

Accordingly, pursuant to 46 C.F.R. §§ 502.69, 502.71, and 502.254, Third-Party Respondent SEC respectfully moves for an Order:

1. Denying Respondents' Motion for Reconsideration;
2. Granting SEC its attorneys' fees and costs in connection with this Opposition; and,
3. Granting SEC all such other and further relief as may be just and proper.

Dated: June 24, 2025

Respectfully submitted,

HOHENSTEIN & PARKINSON, LLP

By: /s/ James H. Hohenstein

James H. Hohenstein
385 South End Avenue, #5K
New York, NY 10280
Telephone: (917) 873-2528
jim.hohenstein@hplawnyc.com

*Counsel to Samsung Electronics
Co., Ltd. s/h/a Samsung
Electronics Company, Ltd.*

CERTIFICATE OF SERVICE

I hereby certify that I have on this day served the foregoing document by electronic mail upon the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Richard Ambrow – *Administrative Law Judge*
Federal Maritime Commission
Judges@fmc.gov
3. Mills Black LLP
Counsel for Complainants
 - a. Peter F. Black
pblack@millsblack.com
 - b. H. Allen Black
hablack@millsblack.com
4. Jeffrey/Fenneman Law + Strategy, PLLC
Counsel for Respondents and Third-Party Complainants
 - a. Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
 - b. Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
5. Cozen O'Connor, P.C.
Counsel for Respondents and Third-Party Complainants
 - a. Wayne R. Rohde
wrohde@cozen.com
 - b. Christopher Raleigh
craleigh@cozen.com

Dated: June 24, 2025

By: /s/ James H. Hohenstein

James H. Hohenstein
Hohenstein & Parkinson, LLP

*Counsel to Samsung Electronics
Co., Ltd. s/h/a Samsung
Electronics Company, Ltd.*